

KINGDOM OF SAUDI ARABIA

CONDITIONS OF CONTRACT FOR CONSTRUCTION

FIDIC Red Book — 1999 Edition

AL NAKHEEL TOWER

Package 3 — Structural Works

Riyadh, Kingdom of Saudi Arabia

Project	Al Nakheel Tower — Package 3, Structural Works
Employer	Al Nakheel Real Estate Development Co. P.O. Box 4412, Riyadh 11491, Kingdom of Saudi Arabia
Contractor	Gulf Consolidated Contracting WLL P.O. Box 7823, Al Khobar 31952, Kingdom of Saudi Arabia
Contract Value	SAR 48,500,000 (Saudi Arabian Riyals Forty-Eight Million Five Hundred Thousand)
Contract Date	15 January 2025
Commencement Date	1 February 2025 (as notified pursuant to Sub-Clause 8.1)
Time for Completion	18 (eighteen) calendar months from the Commencement Date
Contract Basis	FIDIC Conditions of Contract for Construction, 1999 Edition (Red Book)

العقد الرئيسي

(Main Contract)

Contract Reference: ANRD/PKG3/STRUCT/2025-001

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PART I — GENERAL CONDITIONS الشروط العامة

Sub-Clause 1.1 Definitions

For the purposes of this Contract, including the recitals, the Particular Conditions, the Specification, the Drawings, the Schedules and all other documents forming part hereof, the following words and expressions shall have the meanings respectively assigned to them, except where the context otherwise requires:

- ""Base Date""** means the date fourteen (14) days prior to the latest date for submission of tenders, being 1 December 2024.
- ""Bill of Quantities""** means the priced and completed Bill of Quantities forming part of the Contract, as may be amended from time to time in accordance with the Contract.
- ""Commencement Date""** means the date notified by the Engineer under Sub-Clause 8.1 [Commencement of Works], being 1 February 2025, from which the Time for Completion shall be calculated.
- ""Completion""** means the state in which the Works or a Section are complete in accordance with the Contract, save for minor outstanding works and defects which do not substantially affect the use of the Works or Section for their intended purpose, as certified by the Engineer under Sub-Clause 10.1.
- ""Contract""** means the agreement between the Employer and the Contractor, incorporating by reference the Letter of Acceptance, the Letter of Tender, the Particular Conditions, these General Conditions, the Specification, the Drawings, the Schedules, and the further documents (if any) listed in the Contract Agreement, all as executed on 15 January 2025.
- ""Contract Price""** means the price defined in Sub-Clause 14.1 [The Contract Price], being the sum of SAR 48,500,000 (Saudi Arabian Riyals Forty-Eight Million Five Hundred Thousand) as stated in the Letter of Acceptance, subject to adjustment in accordance with the Contract.
- ""Contractor""** means Gulf Consolidated Contracting WLL, a company duly incorporated and existing under the laws of the Kingdom of Saudi Arabia, having its registered office at P.O. Box 7823, Al Khobar 31952, or its permitted successors and assigns.
- ""Contractor's Documents""** means the calculations, computer programmes and other software, drawings, manuals, models, and other documents of a technical nature supplied by the Contractor under the Contract, as specified in Sub-Clause 4.4.
- ""Contractor's Equipment""** means all apparatus, machinery, vehicles, and other things required for the execution and completion of the Works and the remedying of any defects, other than Temporary Works, Employer's Equipment (if any), Plant, Materials, and any other things intended to form or forming part of the Permanent Works.
- ""Contract Works Insurance""** means the insurance required to be effected and maintained under Sub-Clause 18.2.
- ""Day""** means a calendar day, and "year" shall mean 365 days.
- ""Daywork""** means work carried out following the instructions of the Engineer and paid for on the basis of time spent by the Contractor's Personnel, the Contractor's Equipment, and Materials used, at the Daywork Schedule rates.
- ""Delay Damages""** means the liquidated damages payable by the Contractor pursuant to Sub-Clause 8.7 [Delay Damages] for failure to achieve Completion within the Time for Completion, at the rate of SAR 12,000 (Saudi Arabian Riyals Twelve Thousand) per calendar day.

- ""Drawings""** means the drawings of the Works, as included in the Contract, and any additional and modified drawings issued by (or on behalf of) the Employer from time to time in accordance with the Contract.
- ""Employer""** means Al Nakheel Real Estate Development Co., a company duly established and existing under the laws of the Kingdom of Saudi Arabia, having its registered office at P.O. Box 4412, Riyadh 11491, or its permitted successors and assigns.
- ""Employer's Requirements""** means the document entitled Employer's Requirements, including the Specification, the Drawings, and all other requirements and wishes of the Employer in respect of the Works, as set out in Volume II of the Contract.
- ""Engineer""** means the person appointed by the Employer to act as the Engineer for the purposes of this Contract and named in the Particular Conditions, namely Al Masaar Engineering Consultants Co., represented by Mr. Tariq Al-Rashidi, or such other qualified engineer as the Employer may appoint from time to time and notify to the Contractor.
- ""Force Majeure""** means an exceptional event or circumstance as defined and regulated in Clause 19 [Force Majeure].
- ""Interim Payment Certificate""** means a payment certificate issued by the Engineer under Sub-Clause 14.6.
- ""Letter of Acceptance""** means the formal letter of acceptance of the Letter of Tender dated 15 January 2025, issued by the Employer to the Contractor.
- ""Permanent Works""** means the permanent works to be designed (to the extent specified in the Contract) and executed by the Contractor under the Contract, including the structural reinforced concrete frame, foundations, core walls, transfer slabs, and associated structural elements of Al Nakheel Tower as described in the Specification and Drawings.
- ""Performance Security""** means the security (or securities, if any) under Sub-Clause 4.2 [Performance Security], being an unconditional on-demand bank guarantee in the amount of ten percent (10%) of the Contract Price, equivalent to SAR 4,850,000.
- ""Programme""** means the detailed programme to be submitted by the Contractor under Sub-Clause 8.3 [Programme], including the method statement, sequence of operations, and resource schedules.
- ""Retention Money""** means the accumulated retention amount retained by the Employer from Interim Payment Certificates pursuant to Sub-Clause 14.3, at the rate of five percent (5%) of each Interim Payment Certificate until the Retention Limit of SAR 2,425,000 is reached.
- ""Saudi Labour Law""** means the Labour Law of the Kingdom of Saudi Arabia issued by Royal Decree No. M/51 dated 23 Sha'ban 1426H (corresponding to 27 September 2005), as amended from time to time.
- ""Site""** means the land and other places upon which the Permanent Works are to be executed and to which Plant and Materials are to be delivered, situated at Olaya District, Riyadh, as more particularly described in Appendix B to the Particular Conditions.
- ""Specification""** means the document entitled Technical Specification for Structural Works — Al Nakheel Tower, Reference ANRD/SPEC/STRUCT/2024 Rev.3, forming Volume III of the Contract.
- ""Time for Completion""** means the period of 18 (eighteen) calendar months from the Commencement Date within which the Contractor is required to complete the Works and pass the Tests on Completion, as stated in the Particular Conditions and Sub-Clause 8.1, subject only to extension pursuant to Sub-Clause 8.4.
- ""Works""** means the Permanent Works and the Temporary Works, or either of them as appropriate, being the structural works for Package 3 of Al Nakheel Tower as described in the Specification and Drawings.

Words importing persons or parties shall include corporations and other legal entities. Words importing the singular also include the plural, and vice versa, where the context requires. Headings in these Conditions shall not be taken into account in their interpretation.

CLAUSE 4 — THE CONTRACTOR التزامات المقاول

Sub-Clause 4.1 Contractor's General Obligations

The Contractor shall design (to the extent specified in the Contract), execute and complete the Works in accordance with the Contract and with the Engineer's instructions, and shall remedy any defects in the Works. The Contractor shall provide the Plant, Contractor's Documents, Contractor's Personnel, and other goods and services, whether of a temporary or permanent nature, required in and for this design, execution, completion and remedying of defects. The Works shall be executed in a proper workmanlike and careful manner, with properly equipped facilities and non-hazardous Materials, except as otherwise specified in the Contract.

4.1.1 Standard of Care and Workmanship

The Contractor shall at all times exercise professional care, skill, and diligence in the execution and completion of the Works. All Works shall be carried out in strict compliance with the Contract Documents, the applicable Saudi Building Code (SBC 301 and SBC 303 as amended), ACI 318-19, BS EN 1992, and any other codes and standards identified in the Specification. Where any discrepancy exists between applicable codes, the more onerous requirement shall prevail unless otherwise directed by the Engineer in writing.

4.1.2 Design Responsibility

To the extent that any design is specified in the Contract or the Engineer otherwise instructs, the Contractor shall be responsible for such design and shall submit Contractor's Documents in accordance with Sub-Clause 4.4. The Contractor acknowledges that it has inspected and examined the Site, its surroundings, the above-mentioned data, and other available information before submitting its tender and has satisfied itself as to all matters which could affect the design, execution, completion, and remedying of defects.

4.1.3 Compliance with Laws and Regulations

The Contractor shall comply with all applicable laws of the Kingdom of Saudi Arabia, including without limitation the Saudi Labour Law, the Municipalities and Rural Affairs regulations governing construction activities in Riyadh, the Saudi Aramco Engineering Standards (where applicable to permanent structural materials), SASO standards, environmental regulations, and all relevant Ministry of Municipal and Rural Affairs permit conditions. The Contractor shall obtain and maintain all permits, licences, and approvals required for the execution of the Works and shall provide copies of the same to the Engineer promptly upon request.

4.1.4 Contractor's Representative

The Contractor shall appoint a suitably qualified Contractor's Representative who shall be in attendance on the Site at all times during the execution of the Works, shall be fluent in both Arabic and English, and shall have full authority to receive instructions on behalf of the Contractor. The name and curriculum vitae of the proposed Contractor's Representative shall be submitted to the Engineer for approval prior to the Commencement Date. The Contractor shall not replace the Contractor's Representative without the prior written consent of the Engineer, such consent not to be unreasonably withheld or delayed.

4.1.5 Health, Safety and Environment

The Contractor shall comply at all times with the Employer's Health, Safety and Environment (HSE) Plan (reference ANRD/HSE/2024-001), the Construction HSE Management Plan to be submitted by the Contractor pursuant to Sub-Clause 4.8, and all applicable Saudi Government regulations on occupational health and safety. The Contractor shall designate a qualified HSE Manager resident on the Site throughout the execution of the Works. The Contractor shall prepare and submit monthly HSE reports to the Engineer no later than the 5th day of each calendar month.

4.1.6 Subcontracting

The Contractor shall not subcontract the whole of the Works. The Contractor shall not subcontract any part of the Works without the prior written approval of the Engineer, which shall not be unreasonably withheld. The Contractor shall remain solely responsible for the acts, defaults, and omissions of any Subcontractor, its agents, servants, and employees, as fully as if they were the acts, defaults, or omissions of the Contractor itself. The intended subcontracting of reinforcement steel fabrication and post-tensioning to Gulf Steel Industries Co. is noted and approved in principle, subject to submission and approval of the Subcontractor's detailed proposals.

4.1.7 Key Personnel and Minimum Staffing

The Contractor shall maintain on the Site at all times during working hours the Key Personnel listed in Schedule 5 (Key Personnel Schedule) to this Contract. The Contractor shall not remove or replace any Key Personnel without the prior written approval of the Engineer. The Contractor shall also ensure that sufficient skilled, semi-skilled, and unskilled labour is deployed on Site at all times to maintain the approved Programme. Any reduction in staffing levels below those set out in the approved Programme shall be immediately notified to the Engineer in writing.

4.1.8 Cross-Reference

The obligations set forth in this Sub-Clause 4.1 are subject to and shall be read together with Sub-Clause 4.2 [Performance Security], Sub-Clause 8.1 [Commencement of Works], Sub-Clause 8.3 [Programme], Sub-Clause 14.3 [Application for Interim Payment], and Sub-Clause 14.7 [Payment]. Failure by the Contractor to discharge any of its obligations under this Sub-Clause 4.1 shall entitle the Employer, following written notice to the Contractor, to take such remedial action as it reasonably determines necessary and to recover the costs thereof from the Contractor.

CLAUSE 8 — COMMENCEMENT, DELAYS AND SUSPENSION

Sub-Clause 8.1 Commencement of Works

The Engineer shall give the Contractor not less than seven (7) Days' notice of the Commencement Date. Unless otherwise stated in the Particular Conditions, the Commencement Date shall be within forty-two (42) days after the Contractor receives the Letter of Acceptance.

Pursuant to this Sub-Clause 8.1, the Commencement Date for the Al Nakheel Tower Package 3 Structural Works is confirmed as 1 February 2025. The Time for Completion shall be calculated from this date. Accordingly, the Time for Completion shall expire on 31 July 2026, being 18 (eighteen) calendar months from the Commencement Date, subject only to any extension of time granted in accordance with Sub-Clause 8.4.

The Contractor shall commence the execution of the Works as soon as is reasonably practicable after the Commencement Date, and shall then proceed with the Works with due expedition and without delay. The Contractor acknowledges that the Time for Completion of 18 (eighteen) calendar months is fixed and was considered by the Contractor when determining its tender price. The Contractor shall take all necessary steps, including the deployment of additional resources if required, to ensure that the Works are completed within the Time for Completion.

The Contractor's obligation to complete the Works within the Time for Completion is a fundamental contractual obligation. Failure to achieve Completion by the expiry of the Time for Completion (as may be extended pursuant to Sub-Clause 8.4) shall render the Contractor liable to Delay Damages pursuant to Sub-Clause 8.7 [Delay Damages], without prejudice to any other right or remedy available to the Employer under this Contract or at law.

Sub-Clause 8.7 Delay Damages

If the Contractor fails to comply with Sub-Clause 8.2 [Time for Completion], the Contractor shall subject to Sub-Clause 2.5 [Employer's Claims] pay delay damages to the Employer for this default. These delay damages shall be the sum stated in the Appendix to Tender, which shall be paid for every day which shall elapse between the relevant Time for Completion and the date stated in the Taking-Over Certificate. These damages shall be the only damages due from the Contractor for such default, other than in the event of termination under Sub-Clause 15.2 before completion of the Works.

8.7.1 Rate of Delay Damages

For the purposes of this Contract, the rate of Delay Damages is fixed at SAR 12,000 (Saudi Arabian Riyals Twelve Thousand Only) per calendar day for each and every calendar day by which Completion is delayed beyond the Time for Completion (as may be extended pursuant to Sub-Clause 8.4). The rate of SAR 12,000 per calendar day has been agreed by the parties as a genuine pre-estimate of the Employer's loss arising from late Completion and shall be paid as liquidated damages and not as a penalty.

8.7.2 Maximum Amount of Delay Damages

The total aggregate amount of Delay Damages payable by the Contractor under this Sub-Clause 8.7 shall not exceed ten percent (10%) of the Contract Price, being a maximum of SAR 4,850,000 (Saudi Arabian Riyals Four Million Eight Hundred and Fifty Thousand Only). The parties acknowledge that the inclusion of this cap on Delay Damages does not affect the Employer's right to seek further damages where the Employer terminates the Contract pursuant to Sub-Clause 15.2, nor does it affect any other rights or remedies available to the Employer for breach of contract.

8.7.3 Deduction of Delay Damages

The Employer shall be entitled to deduct the Delay Damages accruing from time to time from any monies due or to become due to the Contractor under this Contract, whether by way of Interim Payment Certificate, the Final Payment Certificate, or otherwise. The deduction of Delay Damages shall not constitute a waiver of any other right or remedy of the Employer. In the event that the amounts deducted are insufficient to recover all accrued Delay Damages, the balance shall be recoverable by the Employer as a debt.

8.7.4 Partial Taking-Over

If the Employer takes over a Section or part of the Works before Completion of the whole of the Works in accordance with Sub-Clause 10.2 [Taking Over of Parts of the Works], the Delay Damages for delay in completion of the remainder of the Works shall, for any period of delay after the date stated in such Taking-Over Certificate, be reduced. The reduced rate shall be calculated on a pro-rata basis by reference to the value of the taken-over Section or part relative to the total Contract Price, as determined by the Engineer.

CLAUSE 14 — CONTRACT PRICE AND PAYMENT

Sub-Clause 14.3 Application for Interim Payment Certificates

The Contractor shall submit a Statement to the Engineer after the end of each monthly period, in a form approved by the Engineer, showing in detail the amounts to which the Contractor considers himself to be entitled, together with supporting documents including the progress report, updated programme, and evidence of materials on Site.

14.3.1 Content of Monthly Application

Each monthly application for an Interim Payment Certificate (an "IPC Application") shall be submitted to the Engineer's Representative on Site not later than the 28th day of each calendar month (or, where the 28th day falls on a Friday or Saudi public holiday, the next working day). Each IPC Application shall include and be supported by:

- (a) a detailed statement of the value of work executed during the month to which the application relates, measured in accordance with the Bill of Quantities and assessed by reference to the applicable unit rates or lump sum prices;
- (b) a statement of the value of materials and Plant delivered to the Site but not yet incorporated in the Permanent Works, supported by delivery notes, purchase invoices, and confirmation of adequate storage;
- (c) a statement of any amounts to which the Contractor considers itself entitled under any other provision of the Contract, including Variations instructed pursuant to Clause 13, claims notified under Sub-Clause 20.1, price adjustment amounts under Sub-Clause 13.8, and any release of Retention Money under Sub-Clause 14.9;
- (d) less the aggregate of all amounts certified in all previous Interim Payment Certificates issued under this Contract;
- (e) less the Retention Money calculated at the rate of five percent (5%) of the gross value of work and materials certified, until the cumulative Retention Money equals the Retention Limit of SAR 2,425,000;
- (f) less any amounts due from the Contractor to the Employer, including any Delay Damages accrued under Sub-Clause 8.7.

14.3.2 Engineer's Certification Period

The Engineer shall, within 28 (twenty-eight) days after receiving an IPC Application and its supporting documents submitted in compliance with Sub-Clause 14.3.1, issue to the Employer an Interim Payment Certificate stating the amount which the Engineer fairly determines to be due to the Contractor.

If the Engineer disagrees with or cannot verify any part of the Statement, the Engineer shall issue an Interim Payment Certificate for the amount that the Engineer considers not to be in dispute. The Engineer shall simultaneously notify the Contractor of the reasons for withholding certification of any disputed amount. Such withholding shall not prejudice any other right of the Contractor. The 28-day certification period under this Sub-Clause 14.3.2 shall be strictly observed; any failure by the Engineer to certify within this period shall be notified promptly by the Contractor to the Employer and shall be treated as a Contractor's claim under Sub-Clause 2.5.

14.3.3 Minimum Amount of Interim Payment Certificate

An Interim Payment Certificate shall not be issued for a net amount less than the minimum amount for Interim Payment Certificates stated in the Appendix to Tender, being SAR 500,000. If the net amount of an IPC Application is less than this minimum amount, it shall be included and carried forward to the following month's IPC Application.

Sub-Clause 14.7 Payment

The Employer shall pay to the Contractor:

- (a) the first instalment of the Advance Payment within forty-two (42) days after the issue of the Letter of Acceptance, or within twenty-one (21) days after the Employer receives the Performance Security under Sub-Clause 4.2 and the Advance Payment Guarantee under Sub-Clause 14.2, whichever is later;
- (b) the amount certified in each Interim Payment Certificate within fifty-six (56) days after the Employer receives each IPC Application and its supporting documents, or within fifty-six (56) days after the date of the Contractor's application for such payment, whichever is the later.

14.7.1 Engineer's Certification for Payment

Notwithstanding the provisions of Sub-Clause 14.3.2, for the purpose of triggering the Employer's payment obligation, the Engineer shall certify the amount due to the Contractor within **21 (twenty-one) days** of receiving the Contractor's IPC Application, and the Employer shall thereafter make payment within 56 (fifty-six) days of the date on which the Contractor submitted its IPC Application. For the avoidance of doubt, the Employer's 56-day payment period runs from the date of the Contractor's submission of the IPC Application, and not from the date of the Engineer's Interim Payment Certificate.

NOTICE — CONFLICT BETWEEN SUB-CLAUSES 14.3.2 AND 14.7.1: Sub-Clause 14.3.2 stipulates that the Engineer shall certify within 28 days of receiving the IPC Application; Sub-Clause 14.7.1 stipulates that the Engineer shall certify within 21 days for the purpose of triggering the Employer's payment obligation. In the event of any conflict between these provisions, Sub-Clause 14.7.1 shall prevail as the Particular Conditions provision, in accordance with Sub-Clause 1.5 [Priority of Documents]. The Contractor is advised to take note of this inconsistency.

14.7.2 Currency of Payment

All payments shall be made in Saudi Arabian Riyals (SAR) by wire transfer to the Contractor's designated bank account as notified to the Employer. Wire transfer details shall be as set out in Schedule 6 (Payment Details) attached hereto. The Contractor shall not be entitled to payment in any other currency without the prior written consent of the Employer.

14.7.3 Late Payment Interest

In the event that the Employer fails to pay any amount certified by the Engineer within the period stated in Sub-Clause 14.7(b), the Contractor shall be entitled to receive financing charges compounded monthly on the amount unpaid during the period of delay. The rate of financing charges shall be three percent (3%) per annum above the Saudi Arabian Interbank Offered Rate (SAIBOR) — 3-month, as published by the Saudi Arabian Monetary Authority (SAMA), applicable on the date on which payment becomes overdue. The Contractor's entitlement to financing charges shall arise automatically

without the need for formal notice and without prejudice to any other rights or remedies of the Contractor.

14.7.4 Disputed Amounts

Where the Employer disputes any part of an Interim Payment Certificate, the Employer shall pay the undisputed portion within the period specified in Sub-Clause 14.7(b). The Employer shall simultaneously issue a written notice to the Contractor specifying the amount disputed, the grounds for the dispute, and the documents relied upon. Any disputed amounts shall be resolved in accordance with Clause 20 [Claims, Disputes and Arbitration]. The payment of any undisputed amount shall not be construed as an admission by the Employer as to the correctness of the disputed amount.

— End of Excerpt —

Al Nakheel Tower — Package 3 — Contract Ref: ANRD/PKG3/STRUCT/2025-001

This is an excerpt of a 4-page illustrative contract. It does not constitute legal advice.